Big4 and Earnings Persistence: All Available Annual Announcements

Dependent variable	(1) ROA_{t+1}	(2) ROA_{t+2}	(3) ES_{t+1}	(4) ES_{t+2}
Big4 (β)	-0.006*	-0.004	0.033	0.007
	(0.003)	(0.003)	(0.081)	(0.071)
Current outcome: non-Big4 slope (ρ)	0.391***	0.260***	0.011	0.005
	(0.049)	(0.044)	(0.013)	(0.007)
Big4 $\times$ current outcome (κ)	0.164***	0.161***	0.086	-0.025
	(0.047)	(0.052)	(0.060)	(0.059)
Big4 total slope ($\rho + \kappa$)	0.554***	0.421***	0.097	-0.020
	(0.041)	(0.048)	(0.060)	(0.059)
Industry $\times$ baseline fiscal-year FE	Yes	Yes	Yes	Yes
Current CFO; lagged size, leverage, sales growth	Yes	Yes	Yes	Yes
Current ES as additional control	Yes	Yes	—	—
Firm-clustered standard errors	Yes	Yes	Yes	Yes
Observations	24,508	22,291	19,138	16,197
Firms / firm clusters	4,108	3,731	3,426	3,006
R^2	0.234	0.151	0.048	0.045

Notes: Each column estimates $Z_{i,t+h} = \alpha_{j,t} + \beta Big4_{it} + \rho Z_{it} + \kappa(Big4_{it} \times Z_{it}) + X'_{it}\gamma + \varepsilon_{i,t+h}$, where Z is ROA or 180-day earnings surprise (ES). All usable annual announcements include good, neutral and bad news, with no stock-price screen or three-year follow-up requirement. Baseline fiscal years are 2001–2024; exact fiscal-year leads and complete model variables determine each column's sample. ROA models retain current ES as a control, so current analyst forecasts are required; ES models also require future forecasts. Controls are current CFO and lagged log assets, leverage and sales growth; ROA columns additionally control for current ES. Big4 status is measured at baseline. No winsorization or period interaction. Parentheses contain firm-clustered standard errors; stars use unrounded p-values. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$. Total Big4 slopes are linear combinations, not additional regressions.